

Investor Cash Flow (DSCR)

Qualify on the subject property's cash flow only — business-purpose investment lending

FICO	INVESTMENT PROPERTIES ONLY — MAX LTV/CLTV		
	Purchase	Rate & Term	Cash-Out
MAX LOAN AMOUNT \$1,000,000			
680	80	80	75
660	75	75	70
620	65	65	65
MAX LOAN AMOUNT \$1,500,000			
720	85	—	—
700	80	80	75
680	75	75	70
620	60	60	—
MAX LOAN AMOUNT \$2,000,000			
660	70	70	65
MAX LOAN AMOUNT \$2,500,000			
700	75	75	—
MAX LOAN AMOUNT \$3,000,000			
700	65	65	60
MAX LOAN AMOUNT \$3,500,000			
720	60	—	—

How to read: values are Max LTV/CLTV. Use the smallest loan-amount band at or above your loan amount and the highest FICO row at or below the qualifying score; "—" = refer to adjacent bands/rows.

PROGRAM LIMITATIONS — ADJUST MATRIX VALUES	
Interest Only (min 680 FICO; IO payment usable in DSCR only if $\leq 75\%$ LTV and ≥ 700 FICO)	Max 80% LTV
DSCR < 1.00 with LTV > 70%	Min 1-year prepayment penalty
DSCR < 0.75 (purchase $\leq 75\%$ LTV per minimum-DSCR grid)	Min \$250,000 loan; all applicants must own their primary residence
LTV/CLTV > 80%	+6 months reserves
DSCR < 1.00	+3 months reserves
Short-term rentals (AirDNA allowed on purchase)	Min 1.00 DSCR
Mixed-use properties (fully amortizing payment required)	Min 1.15 DSCR
Rents raised to market after closing & used in DSCR	+6 months reserves
Max cash-out proceeds	No limit

MINIMUM DSCR — BY LTV/CLTV & FICO

LTV/CLTV	FICO	PURCHASE	REFINANCE (ANY)
> 75%	Any	1.00	1.00
	≥ 720	No minimum*	1.00
> 70% – 75%	680–719	0.75	1.00
	< 680	1.00	1.00
$\leq 70\%$	≥ 680	No minimum*	0.75
	< 680	1.00	1.00

*If DSCR < 0.750, minimum loan amount is \$250,000. DSCR levels < 1.00 may carry pricing adjustments.

Program Notes

These conditions overlay and adjust the matrix values above — the full DEN Non-QM Program Underwriting Guidelines govern

PROGRAM	
Qualification	DSCR = gross rents ÷ proposed PITIA on the subject property only (qualifying payment). No income or employment verified; no DTI developed. DSCR is not rounded up. Qualify ARMs at the start rate.
Business Purpose	Loan must be a business-purpose loan (12 CFR 1026.3(a)). Neither the applicant, titleholder, nor a family member may currently or intend to occupy the property. Consumer-purpose scenarios (family occupancy, cash-out for personal debt or a personal residence) are ineligible. ACH agreement at closing for Foreign Nationals.
Landlord History	At least one applicant must have 12 months of owning/managing rental property within the prior 3 years. Waivers: (a) property under a licensed management agreement at closing — min 700 FICO, max 70% LTV, DSCR ≥ 0.75 (740+) / 1.00 (< 740), 0x30x12 housing; or (b) min 680 FICO, 1.00 DSCR on 30-yr amortizing payment, 0x30x12, all applicants own their primary residence, max 80% LTV, 3 months' rent receipts (refinances: subject acquired in prior 12 months). Not waivable on mixed use.
Primary Residence Test	Each applicant's primary residence must be superior in some manner (type or location) to the subject property.
CREDIT	
Housing History	Max 1x30x12 aggregate (pricing adjustment; max 80% LTV). Non-subject mortgages not on credit and not attached to the primary residence need not be verified if a public-records search is clear for 24 months.
Derogatory Events	Standard DEN Non-QM seasoning applies: events within 4 years are limited (2–4 yrs: max 75% LTV / \$1.5MM, foreclosure max 70%; < 2 yrs: purchase, primary-residence doc types only — effectively ineligible for DSCR). Active BK / NOD / Lis Pendens not allowed.
FOREIGN NATIONAL (DSCR)	
Eligibility & DSCR	Investment purchase & refinance (second-home purchase via Asset Qualifier only — see Non-QM Den matrix for the Foreign National LTV grid). No US FICO: underwrite at 999 FICO, no LTV/FICO LLPA. Minimum DSCR — purchase: no minimum ≤ 70% LTV, 0.75 at > 70–75%; refinance: 0.75. Interest-only payment may NOT be used in the DSCR. Rental-management history not required. Reserves: 6 mo ≤ \$2MM; 12 mo > \$2MM–\$3MM. Max loan \$3.0MM purchase/R&T, \$2.5MM cash-out.
PRODUCTS & TERMS	
Loan Programs	15- & 30-Year Fixed and 5/6, 7/6, 10/6 ARMs (30-day average SOFR, 2/1/5 caps, floor = note rate, 4.500% margin; assumable after fixed period). 40-year terms not available on Investor Cash Flow. Interest Only: min 680 FICO, max 80% LTV, 10-year IO period.
Loan Amounts / Reserves	\$100,000 – \$4,000,000 per program terms (\$250,000 minimum when DSCR < 0.75). Reserves: ≤ \$1MM 4 months; > \$1MM–\$2MM 6 months; > \$2MM–\$4MM 12 months PITIA — no reserves required for other REO on Investor Cash Flow loans; overlay adders per the limitations panel.
Prepayment Penalties	Permitted (business-purpose investment loans) where allowed by state/federal law; required ≥ 1 year when DSCR < 1.00 and LTV > 70%. See Prepayment Penalty Supplement.
Property Types	1–4 units, PUDs, warrantable condos, modular; SFRs with up to 2 ADUs. Non-warrantable condos max 80% LTV; condotels max 75%; mixed use per guidelines (min 1.15 DSCR).